

Q2 Global Venture Funding Climbs In A Blockbuster Quarter For AI And As Capital Concentrates In Larger Companies

Gené Teare July 8, 2025



Gené Teare
@geneteare

Global venture funding ticked up year over year in Q2 2025, with a greater concentration of capital into the largest funding rounds compared to a year ago, Crunchbase data shows.

Q2 funding reached \$91 billion, up from \$82 billion in Q2 2024, per Crunchbase data. However, quarter-over-quarter funding fell from [\\$114 billion in Q1](#), which marked the highest quarter for funding since Q3 2022.

Global funding has increased year over year for the past three quarters, driven primarily by billion-dollar-plus rounds into AI research labs as well as data and infrastructure providers in the sector.

While Q2 capital concentration into the largest rounds was not quite as high as in the prior two quarters, it was still well above historical proportions. Close to a third of all capital in Q2 went to 16 companies that raised funding rounds of \$500 million or more, including a \$14.3 billion funding to [Scale AI](#), per Crunchbase data.



Table of Contents

- [AI blockbuster quarter](#)
- [H1 2025 grew](#)
- [M&A up in 2025](#)
- [Late-stage gains](#)
- [Early-stage flat](#)
- [Seed up](#)
- [M&A relief](#)

- [Methodology](#)
- [Glossary of funding terms](#)

AI blockbuster quarter

In another blockbuster quarter for AI funding, \$40 billion — or around 45% of global funding — went to the sector, with more than a third invested in Scale AI alone.

All in all, the past three quarters saw record funding to the AI sector.

Foundation model companies raised \$5.5 billion last quarter. That included two AI research labs — [Thinking Machines Lab](#) and [Safe Superintelligence](#) — both a year old or less, raising \$2 billion each. Other large rounds in the AI sector were raised by [Anduril Industries](#) (\$2.5 billion), [Grammarly](#) (\$1 billion), [Anysphere](#) (\$900 million) and [Helsing](#) (\$694 million).



Healthcare and biotech companies raised \$14.8 billion in venture funding in Q2, making it the second-largest sector for the quarter. The financial services sector, the third-largest, raised \$10.8 billion, per Crunchbase data.

Along with a greater concentration of capital in larger companies, the U.S. predominated, with \$60 billion — or two-thirds of venture capital — going to U.S.-based companies in Q2.

H1 2025 grew

H1 2025 posted the strongest half-year for venture capital since the first half of 2022. A total of \$205 billion was raised through mid-year, up 32% from H1 2024.



More than a third of H1 funding — \$70 billion — went to just 11 companies that raised rounds of \$1 billion or more.

Both of the two largest venture fundings on record were raised this year. They were [Scale AI](#), with [\\$14.3 billion](#) in Q2, and [OpenAI](#) with [\\$40 billion in Q1](#). (To find the third-largest venture round on record, you would need to go back to 2018, when Hangzhou-based [Ant Group](#) raised a \$14 billion Series C funding.)

M&A up in 2025

Q2 2025 was the second-strongest quarter for startup M&A dollar volume since 2021, with \$50 billion in reported exit value. Last quarter's total was down from \$71 billion in Q1, although that was the quarter in which [Wiz](#)

was acquired by [Google](#) in the largest-ever acquisition of a private company at a price tag of \$32 billion.

[OpenAI](#) was the most-active and largest acquirer by amount in Q2, buying four companies including [Jony Ive's Io](#) for \$6 billion and [Windsurf](#) for \$3 billion.

In Q2, 18 companies were acquired for more than \$1 billion, Crunchbase data shows. Half of these companies were acquired by public companies, and three by private equity firms. Six of the acquisitions were by private venture-backed companies including OpenAI. They also included [Databricks](#)' acquisition of open source SQL database [Neon](#).



Late-stage gains

All the gains year over year were seen in late-stage funding in the second quarter. Funding reached \$55 billion, up more than 53% year over year, and down quarter over quarter by close to a third, Crunchbase data shows.



Early-stage flat

Early-stage funding was flat quarter over quarter in Q2 reaching \$26 billion across 1,600 companies with the largest rounds at this stage peaking around \$220 million. Larger Series A and B rounds were raised in quantum, energy, self driving, therapeutics and satellite technology, as well as human resources and chat software services, with Series B rounds predominating.

Year-over-year funding was down as Q2 2024 saw multiple billion-dollar Series B fundings to AI companies.



Seed up

Seed funding reached \$10.3 billion in Q2. Thinking Machines raised 20% of that with a \$2 billion seed round that [marked the largest on record at that stage](#), per Crunchbase data. If not for the Thinking Machines round, seed funding would be flat quarter over quarter and down year over year. (Seed funding totals typically increase over time, as many seed rounds are added to the Crunchbase dataset after the close of a quarter.)



M&A relief

So far in 2025, the proportion of funding to AI has continued to increase, along with funding concentrated in larger rounds. As more funding is committed to private companies, the good news is that M&A is up for a second quarter in a row, rivaling peak M&A amounts in 2021.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of July 3, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end

of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)